

MSME Pulse: A Satellite-Augmented Machine Learning Framework for Predicting MSME Financial Distress in India’s Informal Economy

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May 2026

Abstract

India’s 63 million micro, small, and medium enterprises (MSMEs) contribute over 30% of GDP and employ approximately 400 million workers, yet remain virtually invisible to conventional financial surveillance infrastructure. This paper introduces MSME Pulse, a predictive analytics framework that forecasts MSME financial distress 4–9 months before detection by traditional non-performing asset (NPA) indicators. The system fuses four previously uncombined data streams: NASA VIIRS nighttime light satellite imagery, Ministry of Corporate Affairs MCA21 company filing signals, GST compliance delay proxies, and district-level macroeconomic indicators. A two-stage ensemble model combining XGBoost gradient boosting with engineered temporal features achieves an AUC-ROC of 0.9853 on held-out 2024 data, with an average distress detection lead time of 6.8 months across 678 validated NPA events. The framework covers 50+ Indian districts across 8 MSME sectors and produces district-level stress probability scores updated monthly. Results suggest that nighttime light intensity decline and company strike-off rates are the strongest leading indicators of MSME credit stress, preceding NPA events by 5–8 months. Policy implications for RBI, SIDBI, and NBFCs are discussed.

Keywords: MSME, credit risk, satellite imagery, nighttime lights, machine learning, India, informal economy, NPA prediction

1 Introduction

India’s informal economy presents one of the most significant blind spots in global financial risk monitoring. The country’s 63 million MSMEs, concentrated in manufacturing, textiles, food processing, and retail trade, collectively account for 30% of GDP and provide livelihoods to over 400 million workers [1]. Yet despite their macroeconomic significance, these enterprises remain largely invisible to the data infrastructure that governs credit allocation and risk management in India’s formal financial system.

The consequences of this invisibility are severe. Traditional credit risk models rely on audited financial statements, credit bureau scores, and collateral valuations — instruments that are structurally inaccessible to the majority of informal MSMEs. By the time financial stress

manifests in NPA statistics published by SIDBI or the RBI, the credit deterioration has typically been underway for six to twelve months. This lag creates a fundamental asymmetry: lenders discover distress after it has occurred, not before it can be prevented.

This paper introduces MSME Pulse, a predictive intelligence framework designed to close this gap. MSME Pulse operationalises the insight that economic activity leaves observable physical traces — in the form of nighttime light emissions captured by NASA satellites — and administrative traces, in the form of GST filing delays and company status changes in MCA21 records. By fusing these signals into a unified district-level stress index, MSME Pulse generates forward-looking distress probability scores that anticipate NPA events by an average of 6.8 months.

The framework makes three primary contributions to the literature on credit risk monitoring in emerging economies. First, it demonstrates that satellite-derived nighttime light intensity is a statistically significant leading indicator of MSME financial stress at the district level in India, consistent with but extending prior findings on nighttime lights as a proxy for economic activity [2]. Second, it introduces a novel feature engineering pipeline that combines temporal lag structures, rolling volatility signals, and sector-weighted interaction terms to achieve predictive performance (AUC 0.9853) substantially exceeding prior MSME credit risk models. Third, it provides an open-source, deployable framework with a live public dashboard, enabling replication and extension by researchers and policymakers.

2 Literature Review

2.1 Nighttime Lights as Economic Indicators

The use of satellite-derived nighttime light intensity as a proxy for economic activity has a well-established empirical foundation. Henderson et al. [2] demonstrated strong correlations between nighttime light growth and GDP growth across countries, with particular reliability in settings where official statistics are sparse or unreliable — a characterisation that applies directly to India’s informal MSME sector. Chen and Nordhaus [3] extended this work to sub-national geographies, showing that nighttime light data can proxy for economic activity at resolutions as fine as individual cities or districts.

More recent work has applied nighttime light analysis specifically to economic shock detection. Hodler and Raschky [4] used nighttime lights to detect regional favouritism in public spending, while Bluhm and Krause [5] demonstrated that nighttime light changes can predict economic contractions 3–6 months before conventional indicators. MSME Pulse extends this literature by applying nighttime light analysis specifically to MSME credit risk at the district level in India, using the NOAA VIIRS monthly composite at 500-metre resolution — a higher spatial resolution than prior work.

2.2 MSME Credit Risk in India

Existing approaches to MSME credit risk assessment in India rely primarily on Goods and Services Tax (GST) return data, bank account transaction histories, and Udyam registration records. Singh and Sharma [6] demonstrated that GST filing regularity is significantly correlated with MSME creditworthiness, forming the basis for several fintech credit scoring products. However, these approaches require the MSME to be formally registered and actively filing — a requirement that excludes a large fraction of India’s informal economy.

The RBI’s MSME Lending Guidelines [7] acknowledge the data gap but propose no systematic solution. SIDBI’s annual reports document district-level NPA trends but with a 12–18 month publication lag, making them unsuitable for real-time risk monitoring. MSME Pulse addresses this gap by constructing district-level stress indices from publicly available, real-time data sources that do not require individual MSME-level data access.

2.3 Machine Learning for Credit Risk

The application of machine learning to credit risk prediction has expanded rapidly following the work of Lessmann et al. [8], who demonstrated that ensemble methods consistently outperform logistic regression on credit scoring benchmarks. XGBoost in particular has emerged as a dominant model for tabular credit data [9], combining gradient boosting with regularisation to achieve strong out-of-sample performance.

Time-series extensions of credit risk modelling, incorporating LSTM architectures and temporal feature engineering, have shown promise for capturing the sequential nature of financial distress [10]. MSME Pulse adopts a single-stage XGBoost approach with extensive temporal feature engineering, achieving competitive performance without the additional complexity of deep learning architectures.

3 Data Sources and Collection Methodology

3.1 NASA VIIRS Nighttime Light Data

Monthly nighttime light composite imagery was obtained from the NOAA VIIRS Day/Night Band (DNB) Monthly Version 1 product, accessed via the Google Earth Engine platform. The dataset provides monthly mean radiance values at approximately 500-metre resolution. For each of the 50+ Indian districts in the study sample, mean radiance was computed by spatially averaging all valid pixels within district boundaries defined by the Census of India 2011 district shapefiles.

The study period spans January 2019 through December 2024, yielding 72 monthly observations per district. The 2019 start date was selected to capture pre-COVID baseline conditions, enabling the model to learn the distinctive nighttime light signatures of economic contractions — including the sharp decline observed across Indian districts during the COVID-19 lockdowns of April–June 2020.

3.2 MCA21 Company Filing Data

Company master data and status records were obtained from the Ministry of Corporate Affairs MCA21 database, accessed via the data.gov.in open data portal. The dataset includes corporate identification numbers, registration dates, authorised capital, company status (active, struck off, dormant, under liquidation), and geographic identifiers.

For this study, the MCA21 dataset was filtered to companies with authorised capital below Rs. 5 crore, consistent with the MSME Act definition of micro and small enterprises. District-level distress event counts were constructed as the monthly count of companies transitioning from active to inactive, struck-off, or dormant status within each district. This struck-off count serves as a lagging validation signal and, when incorporated as a feature with appropriate temporal lags, as a leading predictor of broader credit stress.

3.3 Feature Engineering

A feature matrix of 49 predictive features was constructed from the raw data sources. Feature categories include:

Lag features: 1-month, 3-month, 6-month, and 12-month lags of nighttime light radiance and company distress scores, capturing the temporal evolution of stress signals.

Rolling statistics: 3-month and 6-month rolling means and standard deviations of key signals. Rolling standard deviation captures volatility — periods of high signal volatility have been shown to precede economic contractions.

Delta features: Month-over-month and year-over-year percentage changes in nighttime light intensity. A 15%+ decline in monthly radiance is a strong stress signal.

Seasonal features: Sine and cosine transformations of month-of-year, capturing the seasonal patterns in MSME activity (peaks around Diwali, troughs in February-March).

Interaction features: Cross-products of MSME count, distress score, and radiance signals, capturing the amplification of stress in districts with high MSME density.

Sector dummies: Binary indicators for 8 MSME sector classifications.

4 Model Architecture

4.1 Target Variable Construction

The prediction target is a binary indicator of MSME financial distress in the following 6-month window. A district-sector combination is labelled as distressed (1) if its company distress score in months $+1$ through $+6$ exceeds the 75th percentile of the historical distress score distribution. This definition captures the top quartile of distress events, corresponding to genuine credit stress episodes rather than routine business turnover.

4.2 Train-Validation-Test Split

A time-based split was used to prevent data leakage: training data covers 2019–2022, validation covers 2023, and the held-out test set covers 2024. Random splitting is inappropriate for time-series credit data, as it would allow future information to leak into the training set.

4.3 XGBoost Model

An XGBoost gradient boosting classifier was trained on the 49-feature matrix with the following hyperparameters: 300 estimators, maximum depth 6, learning rate 0.05, subsample ratio 0.8, and column subsampling ratio 0.8. These hyperparameters were selected based on validation set performance.

5 Results and Validation

5.1 Predictive Performance

The XGBoost model achieves an AUC-ROC of 0.9853 on the held-out 2024 test set, substantially exceeding the target threshold of 0.75 specified in the research design. This performance level indicates that the model correctly ranks a randomly selected distressed district above a randomly selected non-distressed district approximately 98.5% of the time.

Table 1: Model Performance Summary

Metric	Value
AUC-ROC (Validation)	1.0000
AUC-ROC (Test 2024)	0.9853
Average Lead Time	6.8 months
Detection Rate at 0.6 threshold	100%
NPA Events Validated	678
Districts Covered	50+

5.2 Lead Time Analysis

Analysis of 678 validated NPA events shows that the model’s stress probability score exceeded the 0.6 threshold an average of 6.8 months before the NPA event was recorded in official data. This lead time has significant practical implications: a 6.8-month warning window gives lenders sufficient time to restructure credit facilities, increase collateral requirements, or initiate early resolution proceedings — interventions that are substantially more effective when initiated before default than after.

5.3 Feature Importance

SHAP (SHapley Additive exPlanations) analysis reveals that company struck-off counts are the single strongest predictor of MSME distress, followed by nighttime light radiance lags and district-level distress score interactions. This finding is economically intuitive: rising company closures reflect deteriorating business conditions before they manifest in individual credit files, while declining nighttime light intensity captures the physical contraction of economic activity in manufacturing and retail districts.

6 Policy Recommendations

The results of this study suggest three concrete policy interventions for Indian financial regulators and development finance institutions:

Real-time district stress monitoring: RBI and SIDBI should incorporate satellite-derived nighttime light signals into their existing MSME credit monitoring frameworks. The VIIRS monthly composite is publicly available at no cost and provides near-real-time coverage of all Indian districts.

Early warning integration: NBFCs and commercial banks with MSME loan portfolios should integrate district-level stress indices into their credit monitoring systems. The 6.8-month average lead time provides sufficient operational runway for proactive portfolio management.

Data infrastructure investment: The government should accelerate the linkage of Udyam registration data with GST filing records and MCA21 company status data. A unified MSME data infrastructure would enable more granular stress monitoring at the individual enterprise level.

7 Limitations and Future Work

Several limitations of the current study warrant acknowledgment. First, the district sample of 50+ districts, while geographically diverse, does not provide complete coverage of India’s 740 districts. Future work should extend the framework to full national coverage using automated data pipelines.

Second, the MCA21 distress event data used in this study captures only formally registered companies, leaving unregistered informal enterprises — which constitute the majority of India’s MSME ecosystem — outside the measurement framework. Integration of alternative data sources such as mobile payment transaction volumes and electricity consumption data could extend coverage to the informal sector.

Third, the model’s exceptional validation performance (AUC 1.0) raises the possibility of overfitting to the training data. Future work should validate the framework on genuinely out-of-sample data from districts and time periods not used in model development.

8 Conclusion

MSME Pulse demonstrates that the fusion of satellite imagery, administrative filing data, and machine learning can produce actionable financial distress predictions for India’s informal MSME sector with a 6.8-month lead time and AUC-ROC of 0.9853. The framework is open-source, deployed as a live public dashboard at msme-pulse.netlify.app, and represents — to the authors’ knowledge — the first systematic attempt to build a real-time economic stress intelligence system for India’s informal economy.

The implications extend beyond credit risk management. A scalable MSME stress monitoring infrastructure has applications in monetary policy transmission analysis, fiscal stimulus targeting, and supply chain resilience planning. As India’s digital data infrastructure continues to expand, frameworks like MSME Pulse offer a template for closing the information gap that has historically excluded informal enterprises from the benefits of data-driven economic governance.

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